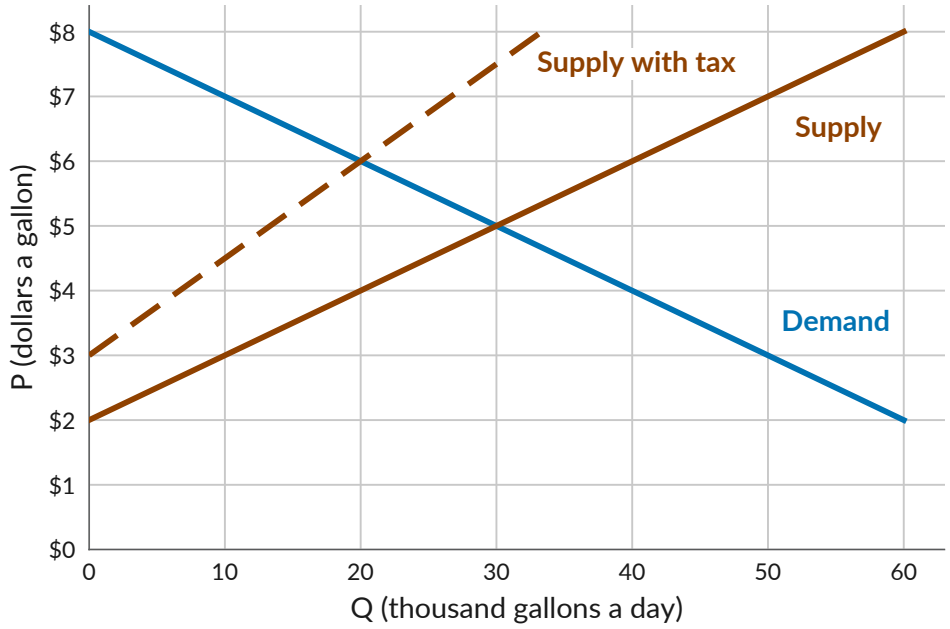
Worksheet: Taxes and Price Ceilings

ECON 201

Gasoline at stations in town

Many stations in town sell the same regular gasoline. In the graph, the solid lines show the original demand and supply curves.



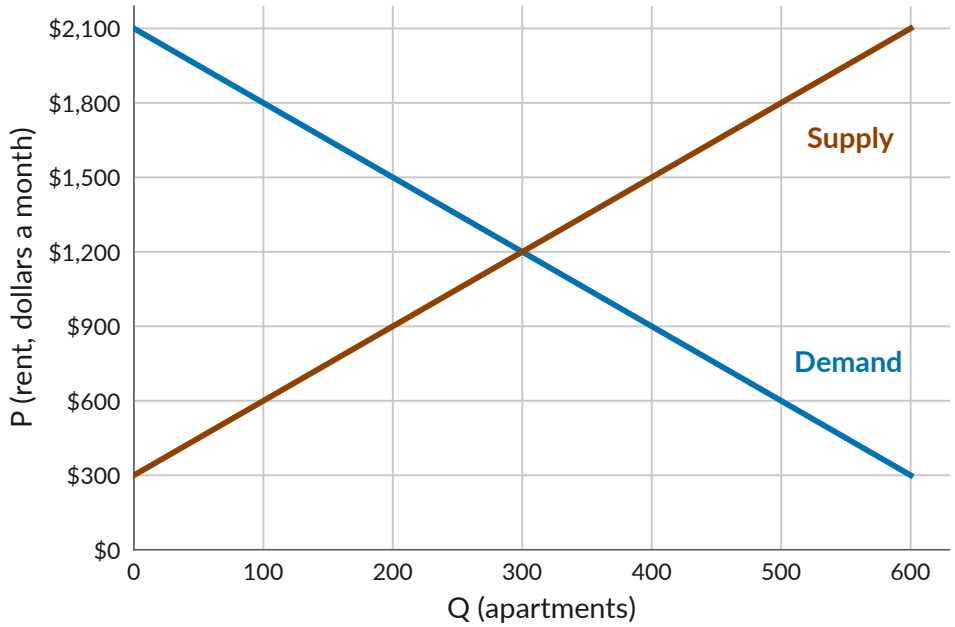
1. What are the equilibrium price and quantity? Mark this point, A, on the graph.

2. The city puts a 50% tax on sellers, so their marginal cost of supplying each gallon is 50% higher: the dashed line shows supply with the tax. How many gallons are sold, what do buyers pay, and what do sellers keep?

3. What share of the tax do buyers bear, and what share do sellers bear?

Apartments near campus

Many landlords near campus rent out similar apartments. In the graph, the lines show the demand and supply curves.



4. What are the equilibrium rent and quantity? Mark this point, A, on the graph.

5. The city caps the rent at $900 a month. How many apartments do landlords offer, how many do renters want, and how many are rented?

6. Do the apartments go to the renters who value them most? Explain.

Practice at home: for the gasoline tax, calculate the consumer surplus, producer surplus, tax revenue, and deadweight loss. Do the same for the rent cap: consumer surplus, producer surplus, and deadweight loss.